

Asian Paints Indian Multi-National Paint and Coating Manufacturing Company

ASIANPAINT

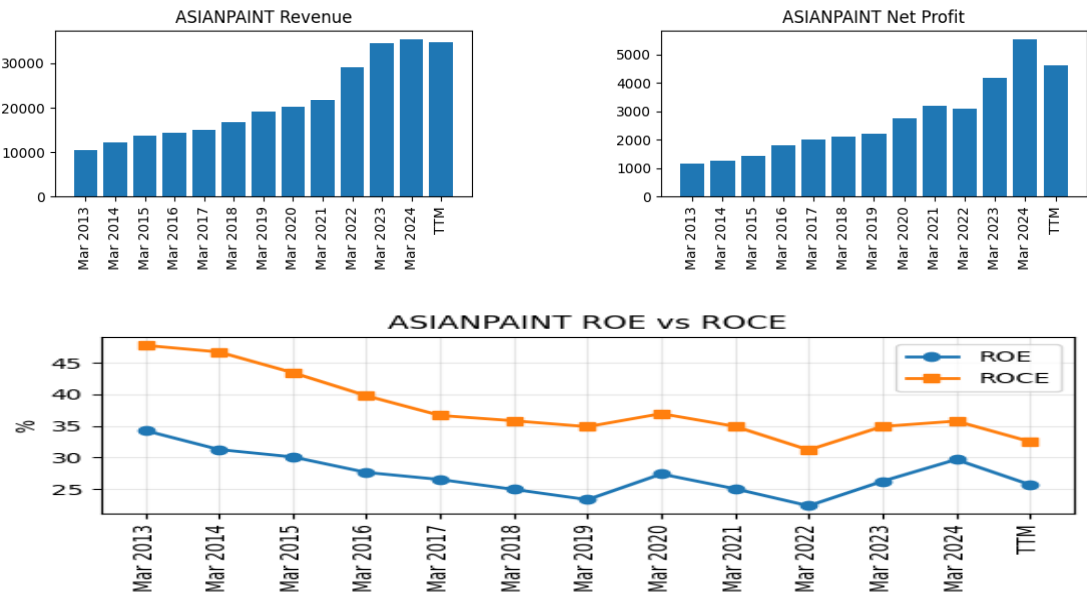
Key Financial Metrics

ROE 25.69%	ROCE 32.53%	Debt / Equity 0.14
Revenue CAGR 11.71%	FCF Conversion 109.82%	Quality Score 54.65

Company Profile

Company	Asian Paints Indian Multi-National Paint and Coating Manufacturing Company
Sector	Materials
Industry	Paints & Coatings
Market Cap (■ Cr)	2,126,725.18
P/E Ratio	73.37
P/B Ratio	3.90
Dividend Yield	2.42%

Financial Performance



AI Investment Summary

Asian Paints Indian Multi-National Paint and Coating Manufacturing Company demonstrates average financial performance with a few areas requiring monitoring. It currently has excellent profitability, strong capital efficiency, steady revenue growth, moderate cash-flow quality and conservative leverage. The overall financial quality score is 54.6/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

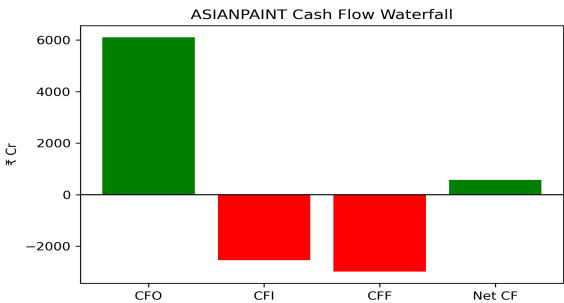
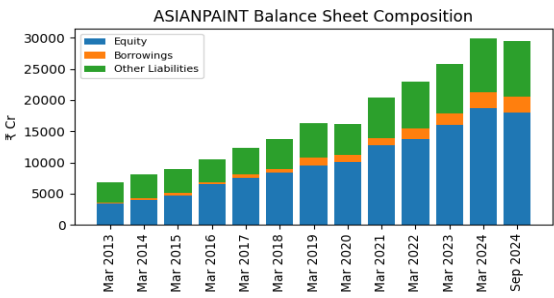
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 54.6/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 54.6

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong

Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Reinvestor